Legal Contract Risk Analysis Report

Date: 2026-10-20 | Status: High Risk Detected

Risk	Category	Problem
CRITICAL	Unilateral Decision Power	The counterparty can make key decisions (price changes, fee adjustments, termination) without your consent or any objective standard.
CRITICAL	Unilateral Modification	The other party can change contract terms, pricing, or obligations instantly with zero warning to you.
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CRITICAL	Restraint of Trade	Non-compete clauses restrict your ability to work in your industry after the contract ends. Broad clauses can be commercially crippling.
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HIGH	IP Rights	IP clauses define who owns innovations, branding, data, and know-how created during the relationship. Blanket assignment of your IP is extremely risky.
HIGH	Financial Risk	Fees or deposits marked non-refundable cannot be recovered if the deal falls through or the contract is terminated.
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HIGH	Ongoing Financial Obligation	Royalty fees are recurring charges that continue for the life of the agreement. Ensure the rate, base, and cap are explicitly defined.
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HIGH	Lock-In Risk	Auto-renewal clauses can lock you into a new term with unfavourable conditions if you miss the opt-out deadline.
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HIGH	Warranty Disclaimer	'As is' language strips all warranties — you accept the asset or system in whatever condition it exists, with no recourse for hidden defects.
HIGH	Indemnification	Broad indemnification clauses can make you financially responsible for losses, legal costs, and damages far beyond what you directly caused.
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HIGH	Pre-Set Penalties	Pre-agreed penalties can be imposed without proving actual harm. Verify these amounts are proportionate and reasonable.
HIGH	Legal Rights Waiver	This clause prevents you from joining a class action lawsuit, isolating you and making it economically unviable to pursue small individual claims.
MEDIUM	Territory Rights	Exclusivity clauses must be precisely defined. Vague territory descriptions can be exploited to allow encroachment.
MEDIUM	Breach Remedy Window	The presence or absence of a cure period determines how much time you have to fix a breach before facing termination.
MEDIUM	Confidentiality	Overly broad confidentiality clauses can prevent you from seeking legal advice, disclosing breaches, or even mentioning the contract's existence.
MEDIUM	Assignment Rights	Assignment clauses control whether you can transfer the contract. One-sided restrictions (only the counterparty may assign) create imbalance.
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MEDIUM	Force Majeure	Force majeure clauses excuse performance during unforeseen events. One-sided or overly broad definitions can excuse the counterparty while you remain bound.
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MEDIUM	Exit Restriction	This clause can delay or devalue your ability to sell your business interest by giving the other party priority purchase rights.
MEDIUM	Dispute Resolution	Mandatory arbitration waives your right to a jury trial and can limit discovery. Arbitration favours repeat players (usually the franchisor).

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MEDIUM	Jurisdiction	A distant governing law or jurisdiction forces you to litigate far from home under unfamiliar rules — raising your costs dramatically.
LOW	Rights Waiver	Waiver clauses can erode your rights over time if you fail to enforce them consistently.
LOW	Prior Representations	This clause voids all pre-contractual promises and representations not captured in the written agreement. Verbal assurances from sales meetings are legally erased.
LOW	Rights Waiver	Waiver clauses can erode your rights over time if you fail to enforce them consistently.
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Recommendations

1. Redline critical clauses.
2. Limit liability.
3. Negotiate cure periods.